

OTS-03 FAQs

1. What should be the best trade if one is bullish on the market?

Depending on how bullish one is, different options strategies can be deployed. For example, if one is very bullish buying a call option will make sense. If one is moderately bullish, then creating a bull call spread or selling a put option would make more sense. So, it would depend on the market outlook and risk preferences of the trader.

2. How can put-call parity be used in trading strategies?

Traders can use put-call parity to identify mispricings between options and underlying assets, enabling arbitrage strategies.

3. What is vega's practical use for traders?

Vega helps traders assess their portfolio's sensitivity to changes in implied volatility, which is crucial for volatility trading strategies.

4. Can the Black-Scholes model be used for American options?

No, the BSM model is designed for European options. For American options, numerical methods like binomial trees are typically used.